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Fuyao Glass Industry Group | Asia Pacific

1Q26 Earnings Call Takeaways –
Steady, As It Goes

1Q26 ASP beat guidance: Fuyao's auto glass ASP rose 11% YoY in 1Q26, exceeding its long-term guidance of a 6-7% CAGR, thanks to stronger domestic sales of higher-end vehicles. Accordingly, value-accretive products accounted for 57.6% of sales in 1Q26, up 7.6ppt YoY. Management sees further ASP upside, driven by accelerating EV adoption overseas, particularly in Europe amid rising oil prices.

Ongoing market share gains: Although volume declined 3.7% YoY in 1Q26, this still outperformed China PV production (down 9.3% YoY) and non-China auto markets (down mid-single-digit YoY). Beyond OE glass, management expects to gain market share in AM glass over the longer term.

Our view on 2Q26 outlook: We see a mixed margin outlook for Fuyao. On the positive side, order recovery in 2Q26 should support better scale, while we expect US plants to deliver stronger profitability in 2Q26 because of seasonality. On the negative side, elevated natural gas prices remain an overhang, and Fuyao may provide higher rebates, given that only 1.17ppt was recognized in 1Q26.

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Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	HK\$53.50
Up/downside to price target (%)	(15)
Shr price, close (Apr 21, 2026)	HK\$62.85
52-Week Range	HK\$86.00-48.60
Sh out, dil, curr (mn)	607
Mkt cap, curr (mn)	Rmb153,794.7
EV, curr (mn)	Rmb147,515.9
Avg daily trading value (mn)	HK\$152

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.78	4.53	5.23
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	3.66	4.07	4.71	5.32
Revenue, net (Rmb mn)	45,787.4	51,621.9	59,194.8	66,985.4
EBITDA (Rmb mn)	13,164.4	14,547.1	17,136.9	19,394.8
ModelWare net inc (Rmb mn)	9,312.3	9,871.2	11,821.6	13,653.7
P/E	16.9	14.5	12.1	10.5
P/BV	4.2	3.4	3.1	2.7
RNOA (%)	25.3	26.9	29.4	31.4
ROE (%)	26.1	26.3	28.4	29.4
EV/EBITDA	12.2	10.1	8.4	7.3
Div yld (%)	3.5	4.1	4.9	5.6
FCF yld ratio (%)**	5.1	4.6	6.3	7.7
Leverage (EOP) (%)	(21.2)	(21.1)	(23.4)	(26.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Fuyao Glass Industry Group (3606.HK)

Base case, with HK\$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

Fuyao Glass Industry Group (600660.SS)

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(as of March 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Fuyao Glass Industry Group (3606.HK) - As of 04/22/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 4/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45;
4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Fuyao Glass Industry Group (600660.SS) - As of 04/22/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 4/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 52; 3/21/22 : 34; 8/25/22 : 35; 10/18/23 : 40; 6/25/24 : 43.8; 8/8/24 : 44; 11/27/24 : 49.5;
4/3/25 : 56; 9/4/25 : 64; 3/23/26 : 56.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/21/2026)
Joey Xu, CFA		

Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb45.70
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$1.53
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.94
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb9.96
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb7.17
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$3.18
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb20.38
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb13.57
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	O (08/14/2023)	Rmb28.13
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb13.84
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$6.73
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb36.43
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb118.95
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb46.02
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb129.53
China MeiDong Auto Holdings Ltd (1268.HK)	E (01/08/2024)	HK\$1.10
China Yongda Automobiles Services (3669.HK)	E (08/13/2024)	HK\$1.14
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb32.41
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb60.20
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$62.85
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb105.50
Keboda (603786.SS)	O (01/17/2024)	Rmb56.73
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$36.76
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb9.10
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.32
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb28.71
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb59.77
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb15.48
Suzhou Recodeal Interconnect System (688800.SS)	U (09/27/2024)	Rmb93.75
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.98
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb46.11
Zhongsheng Group Holdings (0881.HK)	O (10/12/2021)	HK\$7.71
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb7.20
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb101.53
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$109.10
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$10.78
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$24.38
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb20.66
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$13.42
Hesai Group (HSAI.O)	O (07/28/2025)	US\$21.38
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$7.87
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$18.50
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$73.20
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$52.65
NIO Inc. (NIO.N)	O (08/26/2020)	US\$6.43
WeRide Inc (WRD.O)	O (11/19/2024)	US\$8.10
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$68.30
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$17.21

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* Historical prices are not split adjusted.